

INSURANCE AND PENSIONS COMMISSION



FOURTH QUARTER REPORT FOR FUNERAL ASSURERS

FOR THE YEAR ENDED 31 DECEMBER 2012

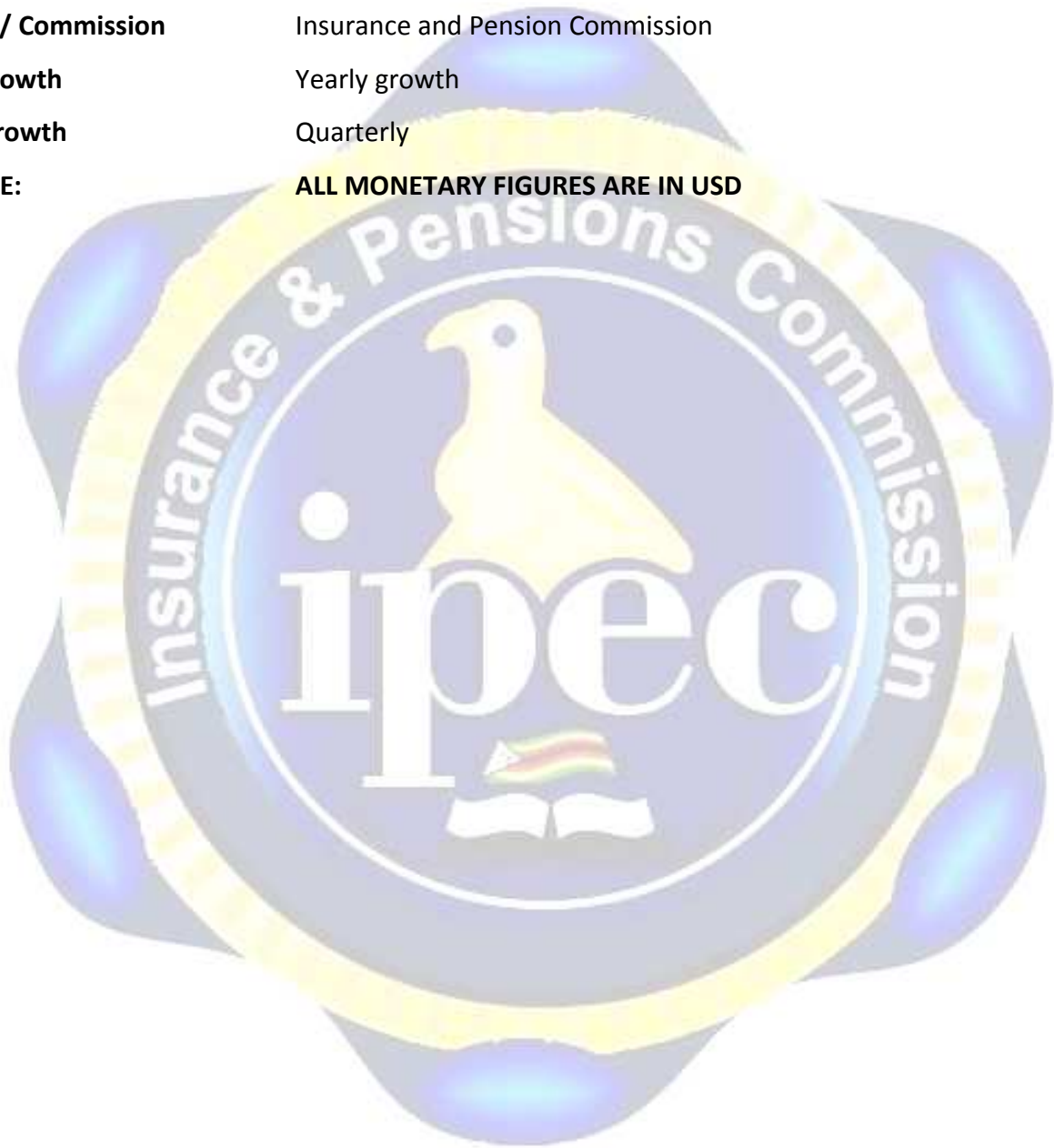
Table of Contents

1.0 Table of Contents	Table	Graph	Page
Industry Overview	1		4
The Number of Operational Institutions			6
Business Written	2		6
Business Composition	3		7
Not taken up policies	4		8
Claims Aged Analysis	5		9
Debtors Aged Analysis	6		9
Earnings	7		10-11
Asset Quality	8		11-12
Capitalisation and Solvency	9		12-13
Conclusion			13

2.0 List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Y-Growth	Yearly growth
Q-Growth	Quarterly

NOTE: ALL MONETARY FIGURES ARE IN USD



3.0 Industry Overview

This report is based on 11 players.

Funeral companies wrote net premiums of \$57million, a 73% annual growth from \$33million reported for the year ended 31 December 2011. All the players retained all premiums net to their balance sheet despite rising claims and expense ratios which clearly indicated the urgent need to spread risks via reinsurance. Resultantly, the industry realized a technical loss of \$0.9million down from a technical profit of \$5million in the previous year.

Total assets annually grew by 61% to close the year at \$59million albeit a 106% growth in liabilities. The industry was adequately capitalized though there is need for the industry, with actuarial guidance, to monitor on solvency margins which is a more reliable financial stability indicator than current minimum capital levels (See Table 1, below).

Table 1: Summary of Financial Performance by Funeral Assurance Industry

Performance indicator	Funeral Assurers				
	Dec 2011	Sept 2012	Dec 2012	Growth	
				Quarterly	Annual
Gross Premiums Written(\$000)	33,157	42,131	57,398	36%	73%
Net Premiums Written (\$000)	33,157	42,131	57,398	36%	73%
Retention Ratio	100%	100%	100%	-	-
Total Gross Claims (\$000)	10,282	18,748	26,140	39%	154%
Total Net Claims (\$000)	10,282	18,748	26,140	39%	154%
Management Expenses (\$000)	14,254	10,943	27,776	154%	94%
Commissions (\$000)	3,450	3,235	4,393	36%	27%
Total Costs(\$000)	27,986	32,926	58,309	77%	108%
Technical Profit(000)	5,171	9,205	(911)	(90%)	(82%)
Claims Ratio	31%	44%	46%	2%	15%
Expense Ratio	53%	34%	56%	22%	3%
Combined Ratio	84%	78%	102%	24%	18%
Total Assets (\$000)	36,405	60,780	58,729	(3%)	61%
Total Liabilities (\$000)	16,682	32,613	34,388	5%	106%
Current Assets	-	19,115	18,994	1%	-
Liquidity Ratio		59%	55%	(4)	-
Free Capital(\$000)	19,723	28,167	24,341	(14%)	23%
Capital to liability Ratio	118%	86%	71%	(15%)	(47%)
Prescribed Assets (\$000)	0	204	148	(27%)	-
Prescribed Asset Ratio (%)	0	0%	0	0	-



4.0 Update on Number of Operational Institutions

This report is based on 11 players.

5.0 Business Written

For the year under review, the funeral industry realized \$57million in net premium terms reflecting a quarterly growth rate of 36% whilst the annual growth rate was 71% (See Table 2 below).

Table 2: Premium Distribution by Company for the quarter ended 31 December 2012

Name of Funeral Company	NPW (\$000)				Yearly Growth
	Sep-12	Dec-12 (%)	Q- Growth	Dec-11	
Cell	979	1,083	11%	1,119	(3%)
Doves	3,391	4,738	40%	3,463	37%
Fidelity	1,887	2,467	31%	1,704	45%
First Funeral	3,428	4,875	42%	2,854	71%
Foundation	184	208	13%	444	(53%)
Moonlight	6,949	9,884	42%	7,212	37%
Nyaradzo	24,069	32,595	35%	14,750	121%
Passion	442	457	3%	576	(21%)
Ruvimbo	246	364	48%	209	74%
Sunset	50	63	26%	-	-
Vineyard	506	664	31%	826	(20%)
Total	42,131	57,398	36%	33,157	71%

Further, Table 2 above illustrates that the top four companies controlled \$52million or 91% of the business signaling high market concentration rate with a Herfindal-Hirshman index of 0.3689. Smaller players clearly need to compete with their peers on service quality and innovation in order to reverse the current oligopolistic nature of the market.

6.0 Business Composition

For the current reporting period, the funeral industry wrote \$52million or 91% of business in recurrent premiums (September 2011: 98%). The balance of premiums was new business. During the same period, corporate business contributed 76% of net premium written up from 69% reported in the prior quarter. The balance of business was personal lines business. Market players are encouraged to balance their portfolios in order to limit concentration risk on their balance sheets should one source of income lose momentum (See Table 3, below).

Table 3: Business Composition by Company for the quarter ended 31 December 2012

Co. Name	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Sept 2012	Dec 2012	Growth (%)	Sept 2012	Dec 2012	Growth (%)	Sept 2012	Dec 2012	Growth (%)	Sept 2012	Dec 2012	Growth (%)	Sept 2012	Dec 2012	Growth (%)
Cell	2	4	100	114	3	(97)	0	0	-	862	1,076	-	979	1,083	11
Doves	-	966	-	3,391	0	(30)	-	0	-	-	3,771	-	3,391	4,738	37%
Fidelity	91	92	1	1,796	2,374	32	0	0	-	0	0	-	1,887	2,467	31
First Funeral	92	2,638	2,767	3,336	2,237	33	0	0	-	0	0	-	3,428	4,875	42
Foundation	-	-	-	184	208	13	-	-	-	-	-	-	184	208	13
Moonlight	251	-	-	775	1,030	33	214	177	(17)	5,960	8,677	46	6,949	9,884	42
Nyaradzo	178	193	8	1,821	1,623	(11)	89	165	85	21,980	30,615	39	24,069	32,595	35
Passion	2	2	-	35	34	(3)	14	10	(29)	392	412	5	442	457	3
Ruvimbo	-	-	-	246	364	48	-	-	-	-	-	-	246	364	48
Sunset	-	-	-	50	63	26	-	-	-	-	-	-	50	63	26
Vineyard	8	12	50	506	652	29	-	-	-	-	-	-	506	664	31
TOTAL	624	3,907	526	12,254	8,588	(30)	317	352	11	29,194	43,475	49%	42,131	57,398	36

7.0 Not-taken Up policies and Lapsed Policies

For the year ended 31 December 2012, funeral assurers realized not-taken up policies of \$66 000, a 16% improvement from the prior quarter. Funeral companies largely reported a near-absence of market malpractices such as mis-selling, switching etc by way of nil lapse ratios (See Table 4, below).

Table 4: Not-taken Up policies and Lapsed Policies

	Not Taken Up Policies			Lapse Ratios					
	Total Premiums(000)			Individual (%)			Group Bus (%)		
	Sept 12	Dec 12	Growth	Sept 12	Dec 12	Growth)	Sept 12	Dec 12	Growth
Cell	0	20	-	87	87	-	75	75	-
Doves	0	0	-	0	0	-	0	0	-
Fidelity	4	4	-	45	45	-	0	0	-
First Funeral	40	33	(18%)	3	83	88%	0	0	-
Foundation	1	0	-	-	177	-	0	0	-
Moonlight	34	9	(74%)	13	11	(2%)	34	14	(20%)
Nyaradzo	0	0	-	33	45	(12%)	18	15	(3%)
Passion	0	0	-	0	0	-	0	0	-
Ruvimbo	0	0	-	1	0	-	0	0	-
Sunset	0	0	-	0	0	-	0	0	-
Vineyard	0	0	-	10	6	(4%)	8	7	(1%)
Total	79	66	(16%)	n/a	n/a	n/a	n/a	n/a	n/a

8.0 Claims Aged Analysis

Timeous claims settlement is a key performance indicator in the insurance industry, more so for the funeral industry. For the period under review, players demonstrated that they largely had current claims on their outstanding book of claims. Players should be commended for meeting contractual obligations timely (See Table 5 below).

Table 5: Claims Aged Analysis

Co.	>30days (\$000)			31-60days (\$000)			61-90days (\$000)			91-120days (\$000)			121days + (\$000)			Reinsurance (\$000)			Totals(\$000)		
	Sept 12	Dec 12	Var	Sept 12	Dec 12	Var	Sept 12	Dec 12	Var	Sept 12	Dec 12	Var	Sept 12	Dec 12	Var	Sept 12	Dec 12	Var	Sept 12	Dec 12	Var
Cell	22	35	59%	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	22	35	59%
Doves	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Fidelity	109	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	109	-	-
First Funeral	986	3	(100%)	-	6	-	-	-	-	-	-	-	-	-	-	-	-	-	986	9	(99%)
Foundation	16	1	(94%)	-	2	-	-	-	-	-	-	-	-	-	-	-	-	-	16	4	(75%)
Moonlight	495	1	(100%)	-	-	-	-	-	-	-	-	-	-	1	-	-	-	-	495	1	(100%)
Nyaradzo	7,395	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	7,395	-	-
Passion	6	11	83%	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	6	11	83%
Ruvimbo	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Sunset	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Vineyard	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	9,023	59	(99%)	-	8	-	-	-	-	-	-	-	-	-	-	-	-	-	9,023	59	(99%)

9.0 Debtor Aged Analysis

Premium collections remains a challenge for the insurance industry at large due to the cash crisis that was experienced in the year under review. Despite this background, the industry's total debtors book decreased by 14% from \$2million reported in the prior quarter resulting in a 97% collection rate. This is attributable to the inevitable need for funeral policies, stop-order facility and that it is largely a condition of employment for employees to join the employers' funeral scheme on recruitment among other factors (See Table 6, below).

Table 6 : Debtors Aged Analysis

Co.	>30days (000)			31-60days (000)			61-90days (000)			91-120days (000)			121days + (000)			Total(000)		
	Sept 12	Dec 12	Var	Sept 12	Dec 12	Var	Sept 12	Dec 12	Var	Sept 12	Dec 12	Var	Sept 12	Dec 12	Var	Sept 12	Dec 12	Var
Cell	5	2	(80 %)	-	5	-	-	1	-	-	5	-	-	-	-	5	13	160%
Doves	6	-	-	5	-	-	3	-	-	3	-	-	5	-	-	22	-	-
Fidelity	60	42	(30 %)	17	32	88%	14	27	93%	-	15	-	77	40	(48%)	168	157	(7%)
First Funeral	-	26	-	-	50	-	-	25	-	-	24	-	-	-	-	-	125	-
Foundation	-	2	-	-	2	-	-	1	-	-	1	-	-	3	-	-	9	-
Moonlight	25	28	12 %	15	21	40%	10	17	70%	9	11	22%	16	31	94%	75	108	44%
Nyaradzo	458	489	7%	450	245	46%	424	124	(71%)	-	-	-	-	-	-	1,332	857	(36%)
Passion	30	53	77 %	26	21	19%	21	37	76%	77	32	(58%)	31	86	177%	185	229	24%
Ruvimbo	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Sunset	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Vineyard	32	35	9%	6	77	1183 %	73	32	(56%)	61	19	69%	9	22	144%	181	185	2%
Total	615	677	10 %	519	453	(13%)	545	264	(52%)	150	107	(29%)	138	182	32%	1,968	1,683	14%

10.0 Earnings

For the year under review, funeral assurance company claims ratio was 46%(December 2011:36%) and an expense ratio of 56%(December 2011:53%). This resulted in a combined ratio of 102% (December 2011:129%).This implies technical losses for the industry which may be difficult to reverse given the current near absence of investment returns.

The top cost centers were administration costs amounting to \$28million or 48% of total costs and the claims bill at \$26million or 45% of total costs. Prudent cost rationalization by players therefore continues to be a vital survival strategy in the short to medium term (see Table 7,below).

Table 7: Key Earnings Indicators By Company for the Quarter ended 31 December 2012

Co. Name	NPW(000)	Claims (000)			Commissions(000)			Management Expenses(000)			Total Costs(000)						Combined Ratio		
	Dec-12	Sep-12	Dec-12	Growth	Sep-12	Dec-12	Growth	Sep-12	Dec-12	Growth	Dec-11	Sep-12	Dec-12	Q-Growth	Y-Y Growth	Dec-11	Sep-12	Dec-12	
Cell	1,083	22	35	59	3	5	67	695	939	35	575	720	979	36%	70%	47%	74%	90%	
Doves	4,738	1,177	1,597	36	220	319	45	779	1,590	50	2,488	2,176	3,506	61%	41%	83%	64%	74%	
Fidelity	2,467	109	154	41	-	-	0	1,021	1,404	38	1,361	1,130	1,558	39%	14%	77%	60%	63%	
First Funeral	4,875	991	1,402	41	371	508	37	1,310	1,737	33	2,332	2,672	3,647	36%	56%	96%	78%	75%	
Foundation	208	31	22	(29)	21	18	(-14)	176	158	(10)	530	228	198	(13%)	(63%)	120 %	124%	95%	
Moonlight	9,884	841	1,141	36	828	1,073	30	2,729	6,274	100	5,673	4,398	8,488	93%	50%	94%	63%	86%	
Nyaradzo	32,595	15,344	21,540	40	1,717	2,366	38	3,610	14,857	40	14,150	20,671	38,763	88%	172%	178 %	86%	119 %	
Passion	457	80	57	(29)	0	3	-	152	160	5	255	232	220	(5%)	(14%)	149 %	52%	48%	
Ruvimbo	364	40	58	45	10	17	70	192	280	46	229	242	355	47%	55%	62%	98%	98%	
Sunset	63	3	2	(33)	4	3	(25)	29	35	(14)	-	36	40	11%	-	0%	72%	63%	
Vineyard	664	110	132	19	61	81	33	250	342	(95)	394	421	555	32%)	41%	67%	63%	84%	
Total	57,398	18,748	26,140	39	3,235	4,393	36	10,943	27,776	50	27,986	32,926	58,309	77%	108%	129 %	78%	102 %	

11. Asset Quality

For the year ended 31 December 2012, industry assets were spread over properties {52% or \$31million, December 2011:\$7million or 19%}, equities {3% or \$2million , Dec 2011 :\$0.7million or 3%}, near cash assets {16% or \$9million, December 2011:3% or \$3million} and other assets {29% or \$17million, December 2011:25% or \$9million}.As a prudential measure, players must employ actuarial guidance in order to strike the right balance in asset-liability matching.

Prescribed Assets – Though the market is slowly subscribing to statutory paper, compliance levels remain largely insignificant. The Commission will ensure 100% compliance in line with the provisions of the law.

Table 8: Funeral industry Asset bases as at 31 December 2012

Co.	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets (000)			Total Assets (000)				
	Sept 12	Dec 12	Var	Sept 12	Dec 12	Var	Sept 12	Dec 12	Var	Sept 12	Dec 12	Var	Sept 12	Dec 12	Var %	Sept 12	Dec 12	Ratio	Dec 11	Sept 12	Dec 12	Q-Growth	Y-Growth
Cell	241	521	116%	12	14	17	526	723	37	169	35	(79)%	-	211	-	51	0	-	1,512	999	1,504	51%	(1%)
Doves	1,968	1,916	(3)%	57	60	5%	149	154	3%	197	71	(64)%	8,265	8,903	8%	18	28	0	9,896	10,654	11,133	4%	13%
Fidelity	129	467	262%	437	541	24%	1,287	1,219	5%	67	113	69%	520	463	(11)%	-	-	-	1,379	2,440	2,803	15%	103%
First Funeral	977	933	(5)%	0	-	-	0	43	-	31	2,037	6471%	1,886	156	(92)%	135	0	0	1,474	3,029	3,169	5%	115%
Foundation	1,062	1,170	10%	0	0	0%	96	104	8%	259	28	(89)%	-	308	-	-	10	1%	1,254	1,417	1,620	14%	29%
Moonlight	6,887	10,412	51%	0	850	-	10	0	-	60	348	480%	3,255	0	(100)%	-	-	-	5,807	10,212	11,610	14%	100%
Nyaradzo	11,380	12,605	11%	0	128	-	1,080	1,463	35%	2,421	2,479	2%	13,243	5,690	(57)%	-	100	-	12,775	28,124	22,465	(20%)	76%
Passion	209	300	44%	0	0	-	0	0	0	26	10	(62)%	538	579	(8)%	-	-	-	336	773	889	(15%)	165%
Ruvimbo	961	756	21%	0	0	-	288	0	-	2	304	15100%	10	601	5990%	-	-	-	1,214	1,261	1,661	32%	37%
Sunset	1,044	1,044	0%	0	0	-	0	0	-	9	3	(67)%	-	-	-	-	-	-	-	1,053	1,047	(1%)	-
Vineyard	519	474	(9)%	3	3	-	28	28	-	26	37	42%	242	276	14%	-	10	1%	757	818	828	1%	9%
Total	25,377	30,598	21%	509	1,596	214%	3,464	3,734	8%	3,267	5,465	(67)%	27,959	17,187	(39)%	204	148	0	36,404	60,780	58,729	(3%)	61%

12. Capitalization and Solvency

For the year ended 31 December 2012, each funeral industry player was adequately capitalized in excess of \$400 000 as prescribed by Statutory Instrument 189 of 2009. Despite this full compliance scenario, the industry needs to pay particular attention to solvency by ensuring that their free assets (capital) grow in sympathy with their liabilities. Consequently, players with capital to liability ratios of less than 100% need to address this issue with actuarial guidance for more precise asset-liability realignment (See table 6 is below).

We encourage players, with IPEC's guidance, to proactively adopt solvency II in calculating capital adequacy in preparation for the introduction of this regulatory framework in line with emerging international best practices.

Table 9: Levels of Capitalization and Solvency Indicators for the Quarter ended 31 December 2012

Co.	Total Assets (000)		Total Liabilities (000)			Capital(Net Assets) (000)			Net Premium Written (000)			Capital To Liability Ratio (%)			Capital To Net Premium Ratio (%)		
	Sept 12	Dec 12	Sept 12	Dec 12	Var	Sept 12	Dec 12	Var	Sept 12	Dec 12	Var	Sept 12	Dec 12	Var	Sept 12	Dec 12	Var
Cell	999	1,504	253	516	104%	746	988	32%	979	1,083	11%	295	191	(104)	76	91	15
Doves	10,654	11,133	929	1,057	14%	9,725	10,076	4%	3,391	4,738	40%	1049	953	(96)	287	213	(74)
Fidelity	2,440	2,803	492	552	12%	1,948	2,251	16%	1,887	2,467	31%	396	408	12	103	91	(12)
First Funeral	3,029	3,169	526	599	14%	2,503	2,570	3%	3,428	4,875	42%	476	429	(47)	73	53	(20)
Foundation	1,417	1,620	814	1,029	26%	603	591	(2%)	184	208	13%	74	57	(17)	328	284	(44)
Moonlight	10,212	11,610	7,867	8,957	14%	2,345	2,653	13%	6,949	9,884	42%	30	30	-	34	27	(7)
Nyaradzo	28,124	22,465	20,601	20,538	(3%)	7,523	1,927	(74%)	24,069	32,595	35%	37	9	(28)	31	6	(25)
Passion	773	889	238	268	13%	535	621	16%	442	457	3%	225	232	7	121	136	15
Ruvimbo	1,261	1,661	536	530	(1%)	725	1,131	56%	246	364	48%	135	213	78	295	311	16
Sunset	1,053	1,047	111	105	(5%)	942	942	-	50	63	26%	849	897	48	1884	1495	(389)
Vineyard	818	828	246	237	(4%)	572	591	3%	506	664	31%	233	249	16	113	89	(24)
Total	60,780	58,729	32,613	34,388	5%	28,167	24,341	(14%)	42,131	57,398	36%	86	71	(15)	67	43	(24)

Conclusion

This report is indicative of a rapidly growing industry both in terms of assets and gross premiums. The players are advised to address several prudential and risk management measures discussed herein, as a minimum, in order to sustain this growth for the benefit of all stakeholders.

